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1.5.6 Revenue

Revenue is income obtained from the sale of goods and services. Total Revenue (TR) represents the money obtained from the sale of all the units of a good. Thus, TR = P × Q, where TR is Total Revenue; P is the price per unit of the good; and, Q is the Total Quantity of the goods sold.

1.5.7 Equilibrium Diagram 1.1.

a. Stable Equilibrium

Prof. Stigler states that "equilibrium is a position from which there is no net tendency to move". Its absence is referred to as disequilibrium. Consumer's equilibrium occurs when he gets maximum satisfaction. The equilibrium of the Producer occurs when he gets maximum profit. A resource is in equilibrium when it gets fully employed and gets its maximum payment. Thus, static equilibrium is based on given and constant prices, quantities, income, technology, population etc.

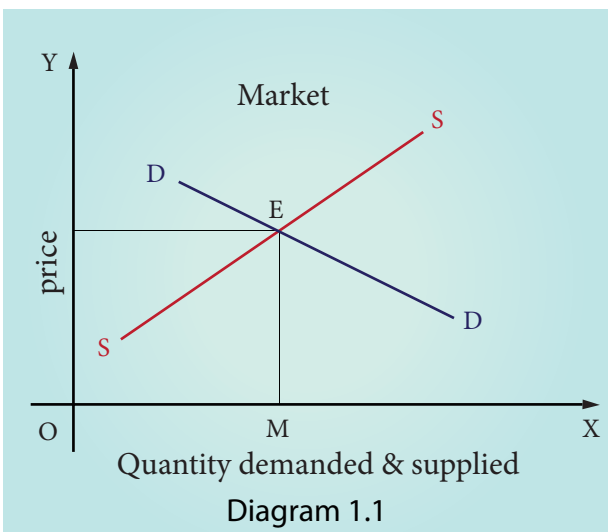


Diagram 1.1

b. Particular Equilibrium and General Equilibrium

An equilibrium, when it pertains to a single variable, may be called particular equilibrium.

An equilibrium, on the other hand, when it relates to numerous variables or even the economy as a whole, may be called general equilibrium.

1.5.8 Income

Income represents the amount of monetary or other returns, either earned or unearned small or big, accruing over a period of time to an economic unit. Nominal income refers to income, expressed in terms of money. It is termed as the *money income*.

Real income is the amount of goods that can be purchased with money as income. It is the purchasing power of income which is based on the rate of inflation.

1.6 Economics: Its Methods, Facts, Theories and Laws

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1.6.1 Methods of Economics: Deduction and Induction

Like any other science, Economics also has its laws or generalisations. These laws govern the activities in the various divisions of Economics such as Consumption, Production, Exchange and Distribution. The logical process of arriving at a law or generalization in a science is called its method.